



**Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20580**

COMMENTS

of the

ASSOCIATION OF NATIONAL ADVERTISERS

on the

Safeguards Rule, 16 CFR 314, Comment, Project No. P145407

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On behalf of the Association of National Advertisers (“ANA”), we provide comments in response to the Federal Trade Commission’s (“FTC” or “Commission”) March 6, 2020 request for public comment on its proposed changes to the Standards for Safeguarding Customer Information (“Safeguards Rule” or “Rule”).¹ This request for comment expands upon the Commission’s original proposed changes to the Rule outlined in its April 4, 2019 Notice of Proposed Rulemaking (“NPRM”).² The FTC has announced that it will explore possible changes to the Rule in its scheduled July 13, 2020 workshop entitled, “Information Security and Financial Institutions: An FTC Workshop to Examine the Safeguards Rule.”³

We fully support the FTC’s goal of providing workable standards for data security protections for consumers. ANA recognizes the importance of requiring financial institutions to maintain a comprehensive information security program for handling customer information. We believe that the Rule, which implements sections of the Gramm-Leach-Bliley Act (“GLBA”), already strikes the right balance of requiring meaningful security protections while allowing regulated entities to implement data security measures that are appropriate for their size, complexity, and scope of activities. The Rule reinforces existing industry best practices such as the Data Standards 2.0, which are incorporated in the ANA Guidelines for Ethical Business Practice (the “Guidelines”).⁴ Serving alongside the Rule, the Guidelines provide a strong yet flexible data security approach that facilitates reasonable and effective protections for consumers. Changes to the Rule are therefore not necessary at this time.

ANA is the advertising industry’s oldest and largest trade association. ANA’s membership includes nearly 2,000 companies, marketing solutions providers, charities and nonprofits, with 25,000 brands that engage almost 150,000 industry professionals and collectively spend or support more than \$400 billion in marketing and advertising annually. Nearly every advertisement you will see in print, online, or on TV is connected in some way to ANA members’ activities. Many of our members are presently directly regulated by the GLBA.

We and our members strongly believe that the risk-based approach to data security presently incorporated in the Rule best protects consumers. This framework appropriately places data security decisions in the hands of professionals with expertise in data protection who know which security measures will work best for their firms. By contrast, prescriptive legal rules related to data security would force entities to adopt one-size-fits-all measures, leave little room for innovation, and place harmful targets on the specific technical security solutions listed in the regulation. Additionally, proposals that would expand the scope of the Rule to cover “finders” risk broadly widening the Rule’s applicability beyond entities connected to financial products or services. The Rule, coupled with industry standards detailed in the Guidelines, already takes the right policy approach of providing a flexible, risk-based framework for data security. For the

¹ 85 Fed. Reg. 13,082 (Mar. 6, 2020).

² 84 Fed. Reg. 13,158 (Apr. 4, 2019).

³ 85 Fed. Reg. 13,082 (Mar. 6, 2020); *see also* FTC, *FTC Safeguards Workshop Postponed Until July 13, 2020, Will Be Held Online* (Apr. 21, 2020), located at <https://www.ftc.gov/news-events/press-releases/2020/04/ftc-safeguards-workshop-postponed-until-july-13-2020-will-be-held>.

⁴ ANA Guidelines for Ethical Business Practice, Part VI, located at <https://thedma.org/accountability/ethics-and-compliance/dma-ethical-guidelines/>.

foregoing reasons, and as further discussed below, we suggest the Commission refrain from implementing the changes to the Rule that are enumerated in the NPRM.

I. Data Security Requirements Should Emulate a Risk-Based Framework and Not Mandate Specific Security Solutions

In the NPRM, the Commission proposed requiring covered financial institutions to implement specific data security measures, such as audit trail logs and multi-factor authentication.⁵ While these measures may be reasonable and even beneficial for certain financial institutions to adopt, requiring regulated entities to do so more broadly does not consider that such solutions may be impossible or unhelpful in certain circumstances. Furthermore, the Commission's record on these security measures does not clearly establish that the costs of implementing them will significantly reduce data security risk or provide consumers with tangible enhanced benefits in all or even most circumstances. Requirements that codify particularized data security standards or solutions run the risk of becoming quickly antiquated and out-of-date. Moreover, specified solutions, as opposed to a flexible framework, can hinder entities' efforts to provide the most up-to-date, state-of-the-art data security protections for consumers.

A risk-based approach to data security would better protect consumers and would empower knowledgeable data security personnel to make decisions that are appropriate for their particular firms.⁶ In their dissenting statement on the FTC's regulatory review of the Rule, Commissioner Phillips and Commissioner Wilson stated that the NPRM "proposes that the Commission substitute its own judgment for a private firm's governance decisions...."⁷ Indeed, the proposed specific security measures in the NPRM suggest that the FTC is in a better position to evaluate security measures that are best for firms subject to the Rule rather than the managers of those firms.

Instead of specific security solutions, the Rule's regulatory regime should require entities to develop, implement, and maintain a reasonable written information security program that includes technical and physical safeguards appropriate to the sensitivity of the customer information and the privacy risks and threats presented by the customer information. This is the data security framework that is currently enshrined in the Rule and the general approach that ANA supports through Privacy for America, a coalition dedicated to working with Congress to support enactment of a comprehensive federal consumer data privacy and security law.⁸ The Privacy for America approach would require companies to implement a risk-based data security program that would vary depending on the risks faced by a particular company, while mandating certain essential elements such as risk assessment, employee training, and incident response. This approach emulates the current structure of the Safeguards Rule and provides important protections for consumers while simultaneously allowing regulated entities flexibility in implementing data security measures.

⁵ 84 Fed. Reg. 13,158, 13,167 (Apr. 4, 2019).

⁶ See, e.g., Privacy for America, *Principles for Privacy Legislation* (Dec. 2019), located at <https://www.privacyforamerica.com/overview/> (providing data privacy and security policy principles that promote a risk-based approach to data security).

⁷ 84 Fed. Reg. 13,158, 13,177 (Apr. 4, 2019).

⁸ 16 C.F.R. § 314.3; see also Privacy for America, located at <https://www.privacyforamerica.com/>.

II. The FTC Should Allow for Reasonable Flexibility for Entities to Implement Data Security Precautions that Are Appropriate Given their Size and Complexity

Legal requirements that order companies to institute prescriptive data security measures are not designed for the constant technological changes and evolutions that are taking place today. Obligating financial institutions to follow specific security measures could stifle innovation and disincentivize firms from developing new security solutions that could offer greater consumer protections in the future. The Rule's current approach of enabling flexibility by requiring reasonable security measures relative to the size of the entity and the scope of its activities better protects consumers and fosters consistently improving data security protections.

In fact, setting specific security requirements by regulation could have the unintended effect of making those prescribed measures a point of focus for nefarious parties looking to gain unauthorized access to or acquisition of customer information by circumventing prescribed protections. Requiring multi-factor authentication by regulation, for example, might encourage hackers to analyze this security tactic to discern ways to render it ineffective. In contrast, allowing entities to use reasonable security measures of their choosing enables financial institutions to capitalize on the plurality of security solutions available in the marketplace, thereby decreasing the possibility that hackers will focus their attention on any one security solution or method.

ANA has long encouraged flexible yet meaningful data security practices, as evidenced by its self-regulatory codes such as the Guidelines.⁹ Without mandating specific security measures, the Guidelines outline a number of particular responsibilities entities should assume to help protect the security and integrity of information. For instance, the Guidelines generally require written policies and procedures, data security training for relevant staff, and even "appropriate email authentication protocols" to deter spoofing tactics. The structure of providing examples of *types* of helpful security measures rather than mandating *specific* measures themselves better protects consumers by giving entities flexibility to structure security in a way that is relevant to their operations and the data they process. The Commission should consider the success of this approach as it contemplates whether to implement changes to the Safeguards Rule that would place prescriptive data security requirements on financial institutions.

III. The Commission Should Not Expand the Rule's Scope by Broadening the Definition of "Financial Institution" to Cover "Finders"

In the NPRM, the FTC indicated that it is considering including "finders" in the scope of the Rule. This proposal would adopt the approach the Federal Reserve Board ("Board") took to the GLBA in 2000 when it determined that acting as a "finder" is an activity that is "incidental to a financial activity."¹⁰ The Board defined "finding" as "bringing together buyers and sellers of products or services for transactions that the buyers and sellers themselves negotiate and

⁹ ANA Guidelines for Ethical Business Practice, Part VI, located at <https://thedma.org/accountability/ethics-and-compliance/dma-ethical-guidelines/>.

¹⁰ See 65 Fed. Reg 80,735, 80,737 (Dec. 22, 2000); 12 C.F.R § 225.86(d)(1).

consummate.”¹¹ If incorporated into the Safeguards Rule by the FTC, this definition could sweep countless new kinds of entities into the Rule’s reach. Because the Board’s definition of “finding” was posed in the year 2000, the Board could not possibly have contemplated the extensive evolution in modes and methods of commerce experienced in the succeeding twenty years. As a result, including “finding” activities, as defined by the Board decades ago, within the ambit of the Safeguards Rule threatens to unreasonably broaden its scope.

The Board’s definition of “finding” does not clearly define whether the activities entities must undertake to be “finders” require an actual connection to financial products or services. The broad wording of the definition suggests that it could include any activity in which entities bring together buyers and sellers to consummate transactions of any kind where some type of financial activity, however incidental, may be involved. This definition could be interpreted to include advertisers, social networks, trade associations, data providers, lead generators, ad agencies, advertising technology providers, software providers, and many other businesses that provide important methods of communication, interaction, and support services to consumers and the business community.

Because “finding” broadly applies to bringing together “buyers” and “sellers,” terms which remain undefined and therefore potentially widely applicable, the definition could be read to extend to various entities in the advertising ecosystem. For instance, entities such as ad agencies who develop creative advertising campaigns could be categorized as “finders,” because their job is to bring their clients and consumers together so they can engage in commercial transactions with one another. Nearly every entity that provides a service supporting a business’s ability to identify consumers for its products could be viewed as bringing together buyers and sellers for transactions. As a result, including “finders” in the ambit of the Rule would unreasonably broaden its scope. Moreover, broadening the Rule to extend to “finding” in this massive fashion would be overly prescriptive and unnecessary, as entities like advertisers, ad agencies, and others are already subject to data security best practices similar to those contained in the Guidelines. Further, those entities are also oftentimes subject to contractual requirements regarding data security as well as other rules obligating them to adopt reasonable security practices.

Adding finders to the scope of the Rule could also disproportionately impact service providers who may make no independent use of consumer information and merely act on behalf of the financial institutions they service. The Rule already incentivizes entities other than financial institutions that receive customer information to employ security measures, even though these entities may not fall under the purview of the Rule. For instance, companies that do business with financial institutions, acting in roles such as service providers and others, are oftentimes required to implement reasonable security by virtue of contractual arrangements with financial institutions covered by the Rule. As such, expanding the scope of the Rule to “finders” is unnecessary and would unreasonably broaden its scope. We recommend that the FTC decline to include “finders” in the scope of the Rule at this time.

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¹¹ *Id.*

Thank you for the opportunity to submit comments on the Commission's proposed updates to the Safeguards Rule. Please do not hesitate to contact us with any questions you may have regarding this submission.